IGCSE ECONOMICS · SECTIONS 1.1 TO 1.4 · A1/A2 ENGLISH

Study Companion: The Basic Economic Problem

Sách học tập: Vấn đề kinh tế cơ bản

How to use this book

Cách dùng sách này

1	2	3	4
Learn the words Học từ vựng	Think: do the task Suy nghĩ: làm bài	Practise the questions Luyện câu hỏi	Check your answers at the back Xem đáp án ở cuối sách

What is in this book

Nội dung

Part	Topic	Tiếng Việt
Start here	The big idea · Paper 2 toolkit	Ý tưởng chính · Bộ công cụ Paper 2
1.1	The basic economic problem	Vấn đề kinh tế cơ bản
1.2	Factors of production	Các yếu tố sản xuất
1.3	Opportunity cost	Chi phí cơ hội
1.4	Production possibility curves (PPC)	Đường giới hạn khả năng sản xuất
Back pages	Answers · Mark schemes · Glossary	Đáp án · Hướng dẫn chấm · Bảng thuật ngữ

Name: _____ Class: _____

The big idea

Ý tưởng quan trọng nhất

The four sections in this book are **one story**.

Bốn phần trong sách này là một câu chuyện.

1.1 Scarcity · Sự khan hiếm

We want a lot. But there are not enough resources.

Chúng ta muốn rất nhiều, nhưng nguồn lực có hạn.

↓

1.2 Resources · Nguồn lực

Resources = the 4 factors of production: land, labour, capital, enterprise.

Nguồn lực = 4 yếu tố sản xuất: đất đai, lao động, vốn, doanh nhân.

↓

1.3 Choice · Lựa chọn

So we must choose. When we choose, we give something up. This is the opportunity cost.

Vì vậy ta phải chọn. Khi chọn, ta mất đi một thứ khác: chi phí cơ hội.

↓

1.4 The PPC · Đường PPC

A diagram that shows scarcity, choice and opportunity cost.

Một biểu đồ cho thấy sự khan hiếm, lựa chọn và chi phí cơ hội.

START HERE

Paper 2 toolkit

Công cụ cho bài thi Paper 2

Every Paper 2 question in this book has 3 parts: **(a) 2 marks, (b) 4 marks, (c) 6 marks**.

Mỗi câu Paper 2 có 3 phần: (a) 2 điểm, (b) 4 điểm, (c) 6 điểm.

Word in the question	What to do	Your answer looks like
Define or **State** [2] Định nghĩa · Nêu	Give the meaning. Use 2 key ideas.	▢▢ 1 sentence
Explain [4] Giải thích	2 points. Each point: **name it** + **say why** or **give an example**.	▢▢ + ▢▢ 2 short paragraphs
Analyse [6] Phân tích	A chain of 6 steps. Each step leads to the next.	▢ → ▢ → ▢ → ▢ → ▢ → ▢ 6 linked sentences

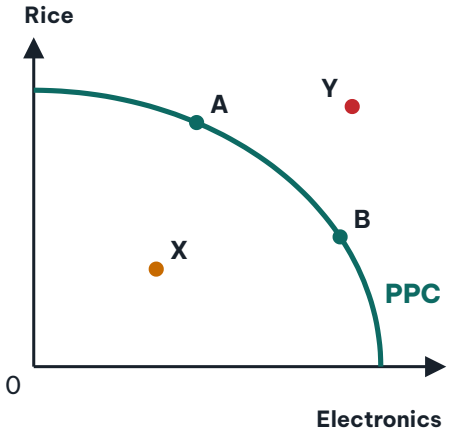
Chain words

Use these words to join your steps: **so** · **this means** · **as a result** · **because**

Từ nối: vì vậy · điều này có nghĩa là · kết quả là · bởi vì

PPC diagram checklist

Danh sách kiểm tra khi vẽ đường PPC



A complete PPC diagram.

1. Label the axes with **two goods**, for example Rice and Electronics. **Not** Price and Quantity.
   Ghi tên hai hàng hóa trên hai trục.
2. Draw the curve **bowed out**. It touches both axes.
   Vẽ đường cong lồi ra ngoài, chạm cả hai trục.
3. Write PPC (or PPC1, PPC2) on the curve.
4. Give each point a letter: A, B, X.
5. Draw an arrow for a move or a shift.
   Vẽ mũi tên khi di chuyển hoặc dịch chuyển.

SECTION 1.1

1.1 The basic economic problem

Vấn đề kinh tế cơ bản

Words

scarcity
There is not enough for everything we want.
Exam: wants are unlimited, but resources are finite.
sự khan hiếm

finite resources
There is only a limited amount of land, workers and machines.
Example: Việt Nam has only so much farmland.
nguồn lực hữu hạn

unlimited wants
Our wants never stop.
Example: after a new phone, you want a laptop.
nhu cầu (mong muốn) vô hạn

the basic economic problem
How to use finite resources for unlimited wants.
So everyone must choose.
vấn đề kinh tế cơ bản

economic agents
Households, firms and the government.
They all face scarcity.
các chủ thể kinh tế

what · how · for whom
The 3 questions every economy must answer.
Exam: resource allocation decisions.
sản xuất cái gì · như thế nào · cho ai

economic good
It is scarce. Making it uses resources.
Example: bottled water, a bus ticket.
hàng hóa kinh tế

free good
It is not scarce. There is enough for everyone. No resources are used.
Example: air, sunlight, sea water.
hàng hóa tự do

THINK 1

My wish list and my $20

You have **$20**. Here is your wish list. Choose what to buy.

Bạn có 20 đô la. Đây là danh sách mong muốn. Hãy chọn mua.

Item	Price	I buy it (✓)
bubble tea	$2	
cinema ticket	$5	
book	$6	
phone game	$8	
T-shirt	$10	

1. How much does **everything** cost? $_____
2. Can you buy everything? **yes** / **no**. This is _____.
   Bạn có mua được tất cả không? Đây là ___.
3. Rich people also face this problem. Why?
   _____
   Người giàu cũng gặp vấn đề này. Tại sao?

? **Memory hook: 3 questions every economy must answer**
3 câu hỏi mọi nền kinh tế phải trả lời

1 **WHAT** to produce? More rice or more phones? Sản xuất cái gì?

2 **HOW** to produce? Robots or workers? Sản xuất như thế nào?

3 **FOR WHOM**? Who gets it? Sản xuất cho ai?

THINK 2

Free good or economic good?

Write the card numbers in the right box. Ask: **is it scarce? Does it use resources?**

Viết số thẻ vào đúng ô. Hỏi: nó có khan hiếm không? Có dùng nguồn lực không?

1 sunlight on a farm	**2** a bottle of water
3 sea air at Vũng Tàu	**4** a textbook
5 rain on a rice field	**6** tap water at home
7 a free lesson at a state school	**8** wind for flying a kite
9 a free milk-tea sample in a shop	**10** sand bought for building a house
Free good:	**Economic good:**

TRAP · BẪY

Free of charge is NOT a free good

A state-school lesson costs students nothing. But teachers, buildings and books are **scarce resources**. Taxes pay for them. So the lesson is an **economic good**.

Miễn phí (không phải trả tiền) ≠ hàng hóa tự do.

TRAP · BẪY

A free good can become an economic good

In the Mekong Delta, river water was a **free good**. Now salt water from the sea comes into the rivers. Fresh water is **scarce**. Families must buy it. Now it is an **economic good**.

Hàng hóa tự do có thể trở thành hàng hóa kinh tế khi nó trở nên khan hiếm.

THINK 3

What, how or for whom? The school canteen

Write **W** (what), **H** (how) or **F** (for whom).

Viết W (cái gì), H (như thế nào) hoặc F (cho ai).

1. Should the canteen sell bánh mì or noodles? _____
2. Should the cooks make food by hand or buy a machine? _____
3. Should Grade 12 students eat first? _____
4. How many cakes should the canteen make each day? _____
5. Should the canteen use gas or electric cookers? _____
6. Should students with less money get cheaper meals? _____

Paper 1 practice

Trắc nghiệm: chọn A, B, C hoặc D.

1. What is the basic economic problem?

A There is not enough money in the economy.
B Wants are unlimited but resources are finite.
C Prices are too high for many consumers.
D Firms produce more than people want to buy.

2. Which of these is a free good?

A tap water in a Hà Nội flat
B a bus ticket in Đà Nẵng
C sunlight falling on a rice field
D a lesson at a state school

3. Which question is about *how* to produce?

A Should the factory use robots or workers?
B Should the country make more rice or phones?
C Who should get the new flats in the city?
D How much should a new phone cost?

4. Why do rich countries also face scarcity?

A They have no free goods at all.
B Their governments spend too little.
C Their firms cannot make enough profit.
D Their wants are still greater than their resources.

Paper 2 practice

READ FIRST · ĐỌC TRƯỚC

Fresh water in the Mekong Delta

Families in the Mekong Delta took water from rivers and canals for free. Now, in the dry season, **salt water** from the sea comes into the rivers. The water is too salty to drink or to use on rice fields. Many families now buy fresh water from trucks, for about **$5 for 1,000 litres**. The government has a limited budget. It must decide what to build (reservoirs, pipes or treatment plants) and who gets the water first: homes, hospitals or farms.

Define **(a) Define the term *scarcity*.** **[2]**

Step 1: Choose the best answer. · Chọn đáp án đúng nhất.

A When something is very expensive.

B When wants are unlimited, but resources are finite.

C When there is no money in the economy.

Step 2: Copy it. Underline the 2 key ideas: wants and resources.

Chép lại. Gạch chân 2 ý chính.

Explain **(b) Explain the difference between an economic good and a free good. Use an example of each from the context.** **[4]**

Step 1: Fill the gaps. Use the word bank. · Điền vào chỗ trống.

scarce | resources | opportunity cost | water from trucks | everyone | river water in the past

An economic good is _____. Making it uses _____, so it has an _____. For example, _____. In contrast, a free good is not scarce. There is enough for _____, so it has no opportunity cost. For example, _____.

Step 2: Now you. Write one more free good from your life.

Viết thêm một hàng hóa tự do trong cuộc sống của bạn.

Free good: _____

Analyse **(c) Analyse why scarcity means the government must decide what to produce, how to produce and for whom to produce.** **[6]**

Step 1: Put the 6 steps in order. · Sắp xếp 6 bước theo đúng thứ tự.

A *What:* should the government build a water reservoir or new pipes?

B Fresh water and the government's money are scarce. People's wants are unlimited.

C *For whom:* should homes and hospitals get water first, or farms?

D So the government cannot give everyone everything. It must choose.

E Every choice has an opportunity cost. Money for a reservoir cannot build a new school.

F *How:* should it use a treatment plant with machines, or more trucks and drivers?

Order: ☐ → ☐ → ☐ → ☐ → ☐ → ☐

Step 2: Write the steps as sentences in your notebook. Join them with so, first, second, third.

Viết thành câu trong vở. Dùng từ nối.

> **Watch out:** use the water story in every step. · Dùng ví dụ về nước trong mỗi bước.

SECTION 1.2

1.2 Factors of production

Các yếu tố sản xuất

Words

factors of production

What we need to make things: land, labour, capital, enterprise.

Exam: resources used to produce goods and services.

các yếu tố sản xuất

land → rent

All gifts of nature: land, rivers, fish, oil, forests.

Reward: rent.

đất đai (tài nguyên thiên nhiên) → tiền thuê

labour → wages

People who work, and their work.

Reward: wages.

lao động → tiền lương

capital → interest

Things made by people to make other things: machines, tools, buildings.

Reward: interest.

vốn (máy móc, nhà xưởng) → tiền lãi

enterprise → profit

The person who has the idea, organises everything and takes the risk.

Exam: organises the other factors and takes risks.

khả năng kinh doanh (doanh nhân) → lợi nhuận

mobility (extra)

Geographical: can it move to a new place? **Occupational:** can it move to a new job?

Example: a farmer moves to a factory job.

tính lưu động theo địa lý · theo nghề nghiệp

quantity of factors

How many? Number of workers, amount of land, number of machines.

Example: more people start work.

số lượng các yếu tố sản xuất

quality of factors

How good? Skills of workers, technology in machines.

Example: training makes workers better.

chất lượng · năng suất

✎ **Memory hook: L-L-C-E → R-W-I-P**
Đất đai → tiền thuê · Lao động → tiền lương · Vốn → tiền lãi · Doanh nhân → lợi nhuận

L **Land → Rent.** A café pays rent for a shop.

L **Labour → Wages.** A worker earns $400 a month.

C **Capital → Interest.** A firm pays interest on a loan for machines.

E **Enterprise → Profit.** The owner takes the risk and keeps the profit.

THINK 1

What does a phở shop need?

Mrs Hoa has a phở shop. Write the card numbers in the right box.

Bà Hoa có một quán phở. Viết số thẻ vào đúng ô.

1 the cook	**2** the land under the shop
3 pots and bowls	**4** Mrs Hoa: she uses her savings and takes the risk
5 the waiter	**6** the fridge
7 water from the well	**8** the delivery motorbike

Land:	Labour:	Capital:	Enterprise:

THINK 2

Match the factor to its reward

Draw a line from each factor to its reward.

Nối mỗi yếu tố với phần thưởng của nó.

Land	profit
Labour	rent
Capital	wages
Enterprise	interest

TRAP · BẪY

Capital is NOT money

In Vietnamese, **vốn** often means money. In economics, **capital** = **machines, tools, buildings, vehicles**. Money cannot make anything. Money is used to **buy** capital.

Firms often borrow money to buy machines. The interest they pay is the price of using the capital. So: capital → **interest**.

Trong kinh tế học, "capital" là máy móc, công cụ, nhà xưởng, không phải tiền. Tiền lãi là phần thưởng cho vốn.

TRAP · BẪY

Land is more than soil

Land = **all natural resources**: fish in the sea, rivers, coal, oil, forests. Not only đất.

"Land" là mọi tài nguyên thiên nhiên, không chỉ là đất.

THINK 3

True or false?

Circle **T** (true) or **F** (false).

Khoanh T (đúng) hoặc F (sai).

1. My uncle has $20,000 in the bank. That money is capital. **T / F**
2. A sewing machine in a garment factory is capital. **T / F**
3. Fish in the sea are land. **T / F**
4. Land means only soil for farms. **T / F**
5. The owner of a firm receives profit for taking risks. **T / F**
6. Training makes the quality of labour better. **T / F**

THINK 4 · EXTRA

Can it move?

Extra task: mobility is not in your scheme of work, so it is not in this exam.

Bài thêm: phần này không có trong bài kiểm tra.

Read each card. Circle **easy** or **hard**. Write **G** (new place: geographical) or **O** (new job: occupational).

Đọc mỗi thẻ. Khoanh dễ hoặc khó. Viết G (nơi mới: địa lý) hoặc O (việc mới: nghề nghiệp).

Card	easy / hard	G or O
1. Cô Mai is a teacher in Huế. She is offered a job in Hồ Chí Minh City. Rent there is high, and her family lives in Huế.	easy / hard	
2. Mr Bình is a rice farmer. A phone factory offers him a job, but he has no factory skills.	easy / hard	
3. A firm moves a computer from its Hà Nội office to its Đà Nẵng office.	easy / hard	
4. A farmer wants to move his field in Đà Lạt to another city.	easy / hard	

What could help Mr Bình get the factory job?

_____

Điều gì giúp ông Bình có việc ở nhà máy?

Quantity and quality

Số lượng và chất lượng

Quantity goes up (more)	Quality goes up (better)
more people of working age · more machines · new oil found	education and training · better healthcare · new technology

More factors, or better factors → the economy **can make more**. In 1.4, the PPC shifts **out**.

Nhiều hơn hoặc tốt hơn → nền kinh tế sản xuất được nhiều hơn.

Paper 1 practice

Trắc nghiệm: chọn A, B, C hoặc D.

5. A baker in Huế buys a delivery van. Which factor of production is the van?

A land
B labour
C capital
D enterprise

6. What is the reward for land?

A rent
B wages
C interest
D profit

7. Which would most likely improve the quality of labour?

A higher rents in big cities
B lower wages in factories
C fewer jobs in farming
D free training courses for workers

8. Which is an example of land as a factor of production?

A money in a bank
B fish in the sea
C a fishing boat
D a fisherman's skills

Paper 2 practice

READ FIRST · ĐỌC TRƯỚC

An electronics factory in Bắc Ninh

Sao Mai Electronics makes phone parts in Bắc Ninh. The owners started the firm 10 years ago and took a big risk.

Sao Mai Electronics (practice figures)	Last year
Workers	8,000, each paid about $400 a month
Rent for land	$2 million a year
Bank loan for new machines	$50 million at 6% interest
Profit for the owners	$12 million

The new machines need skilled technicians. The firm wants 2,000 more, but few local workers have the skills. Sao Mai has opened a training centre. Many young workers move from Thanh Hóa and Nghệ An to work there.

Define **(a) Define the term *enterprise*.** **[2]**

Step 1: Choose the best answer. · Chọn đáp án đúng nhất.

A A big company that makes things.

B Money that a firm borrows from a bank.

C The willingness and ability to organise the other factors of production and take risks to make a profit.

Step 2: Copy it. Underline the 2 key ideas: organise and risk.

Chép lại. Gạch chân 2 ý chính.

Explain **(b) Explain two factor rewards that Sao Mai Electronics pays. Use the context.** **[4]**

Step 1: Fill the gaps. Use the word bank. · Điền vào chỗ trống.

Wages | labour | $400 | Profit | enterprise | $12 million

_____ are the reward for _____. For example, Sao Mai pays each worker about _____ a month. _____ is the reward for _____. For example, the owners received _____ because they took a risk.

Step 2: Now you. Write about one more reward from the table (rent or interest).

Viết về một phần thưởng khác trong bảng (tiền thuê hoặc tiền lãi).

_____

_____

Analyse **(c) Analyse how training workers could affect the output of Sao Mai Electronics.** **[6]**

Step 1: Put the 6 steps in order. · Sắp xếp 6 bước theo đúng thứ tự.

A The firm can fill the 2,000 technician jobs. No machines stand unused.

B Each worker makes more parts in one hour. Productivity rises.

C Each part costs less. Sao Mai can sell at lower prices and win more orders.

D Training gives workers new skills. The quality of labour rises.

E The factory makes more parts with the same land and machines.

F Skilled workers use the new machines well. There are fewer mistakes.

Order: ☐ → ☐ → ☐ → ☐ → ☐ → ☐

Step 2: Write the steps as sentences in your notebook. Join them with so, this means, as a result.

Viết thành câu trong vở. Dùng từ nối.

> **Watch out:** training changes the **quality** of labour (better workers), not the quantity (more workers). · Đào tạo làm tăng chất lượng, không phải số lượng.

SECTION 1.3

1.3 Opportunity cost

Chi phí cơ hội

Words

opportunity cost
The next best thing you give up when you choose.
Exam: the next best alternative forgone.
chi phí cơ hội

next best alternative
Number 2 on your list.
Example: you buy a book; number 2 was a cinema ticket.
phương án tốt nhất tiếp theo

choice
Resources are scarce, so we must choose.
Example: study or work?
sự lựa chọn

trade-off
More of one thing means less of another.
Example: more phones, less rice.
sự đánh đổi

✎ **Find the opportunity cost in 3 steps**
Tìm chi phí cơ hội trong 3 bước

1. **List** the choices: 1, 2, 3... Liệt kê các lựa chọn.
2. Find what was **chosen**: number 1. Tìm lựa chọn số 1.
3. The opportunity cost = **number 2 only**. Chi phí cơ hội = chỉ lựa chọn số 2.

THINK 1

My Saturday

You have one free Saturday afternoon. Rank the choices 1 to 4 (1 = best).

Bạn có một buổi chiều thứ Bảy rảnh. Xếp hạng từ 1 đến 4 (1 = tốt nhất).

Choice	My rank
play football with friends	
watch a film	
study for the test	
visit grandma	

I choose: _____

My opportunity cost is: _____ (number _____ only!)

Tôi chọn: ___ · Chi phí cơ hội của tôi là: ___ (chỉ số 2!)

TRAP · BẪY

Opportunity cost is ONE thing, and it is NOT the money

Minh has $20. His list: 1 book, 2 cinema ticket, 3 T-shirt. He buys the book.

× "the $20" × "the cinema ticket and the T-shirt" ✓ "the **cinema ticket**"

Chi phí cơ hội là MỘT thứ (lựa chọn số 2), không phải số tiền, không cộng tất cả.

THINK 2

Four decision-makers

Each person makes a choice. Write the opportunity cost.

Mỗi người đưa ra một lựa chọn. Viết chi phí cơ hội.

Who and what they can do	They choose…	Opportunity cost
Consumer: Lan has $10. Bubble tea with friends or a new book?	the book	
Worker: Nam can work overtime on Tuesday evening or go to his English class.	overtime	
Firm: a factory can make phones or TVs on its machines.	phones	
Government: it has $1 billion. A metro line or new hospitals?	the metro line	

THINK 3

Spot the mistake

Each sentence has a mistake. Write the correct answer.

Mỗi câu có một lỗi sai. Viết câu trả lời đúng.

1. “Hà goes to university. Her opportunity cost is the $1,500 fees.” (Her next best choice was a hotel job.)
   Correct: _____
2. “Minh buys a book. His opportunity cost is the cinema ticket and the T-shirt.”
   Correct: _____
3. “Lan plays football. Her opportunity cost is football.” (Her number 2 was a film.)
   Correct: _____

Paper 1 practice

Trắc nghiệm: chọn A, B, C hoặc D.

9. Minh has $20. His choices, from best to worst, are a book, a cinema ticket and a T-shirt. Each costs $20. He buys the book. What is his opportunity cost?

A the $20 he spent
B the T-shirt
C the cinema ticket and the T-shirt
D the cinema ticket

10. The government spends $200 million on a new metro line. Its next best use of the money was a new hospital. What is the opportunity cost?

A the $200 million
B the new hospital
C the new metro line
D the taxes people pay

11. Lan works 3 hours of overtime instead of studying English for 3 hours. What is the opportunity cost of the overtime?

A the 3 hours of English study
B the extra wages she earns
C the cost of travel to work
D the money her employer pays

12. A farmer uses a field to grow rice. Why does this choice have an opportunity cost?

A Rice sells at a high price.
B The farmer must pay wages.
C The field cannot also grow vegetables.
D The government buys some of the rice.

Paper 2 practice

READ FIRST · ĐỌC TRƯỚC

Two choices: Hà in Đà Nẵng and Mr Tâm in Cà Mau

Hà is 18. She can go to university (fees **$1,500 a year**) or take a job at a beach hotel (**$300 a month**). Hà decides to go to university.

Mr Tâm has a rice farm in Cà Mau. Salt water comes onto his fields, so his rice harvest is getting smaller. He is thinking of making a **shrimp pond** on the same land. The pond costs **$3,000**. Shrimp sell for a much higher price than rice. He cannot grow rice and shrimp on the same land at the same time.

Define **(a) Define the term *opportunity cost*.** **[2]**

Step 1: Choose the best answer. · Chọn đáp án đúng nhất.

A The next best alternative that is given up when a choice is made.

B The money that you pay for something.

C All the things that you did not choose.

Step 2: Copy it. Underline the 2 key ideas: next best alternative and given up.

Chép lại. Gạch chân 2 ý chính.

Explain **(b) Explain the opportunity cost of Hà's choice and of Mr Tâm's possible choice. Use the context.** **[4]**

Step 1: Fill the gaps. Use the word bank. · Điền vào chỗ trống.

hotel job | $300 | rice | land | both

The opportunity cost of university for Hà is the _____. She gives up _____ a month in wages. If Mr Tâm makes a shrimp pond, his opportunity cost is the _____ he could grow. This is because _____ is scarce: he cannot use it for _____ at the same time.

Step 2: Calculate. How much does Hà give up in one year? · Tính số tiền Hà mất trong một năm.

12 × $300 = $_____

> **Watch out:** the $1,500 fees are a **money cost**. Her opportunity cost is her number 2 choice: the **hotel job**. · Học phí là chi phí bằng tiền, không phải chi phí cơ hội.

Analyse **(c) Analyse how opportunity cost could influence Mr Tâm's decision to switch from rice to shrimp.** **[6]**

Step 1: Put the 6 steps in order. · Sắp xếp 6 bước theo đúng thứ tự.

A Salt water makes his rice harvest smaller. So the opportunity cost of shrimp falls.

B He compares the benefit with the opportunity cost. He will probably switch to shrimp.

C His land is scarce. He cannot grow rice and shrimp on the same land.

D The $3,000 for the pond also has an opportunity cost: new rice seeds or savings.

E If he chooses shrimp, the opportunity cost is the rice he gives up.

F Shrimp sell for a higher price. The benefit of shrimp is bigger than the rice.

Order: ☐ → ☐ → ☐ → ☐ → ☐ → ☐

Step 2: Write the steps as sentences in your notebook. Join them with so, this means, however, as a result.

Viết thành câu trong vở. Dùng từ nối.

SECTION 1.4

1.4 Production possibility curves (PPC)

Đường giới hạn khả năng sản xuất

Words

PPC

A curve. It shows the most of two goods we can make with all our resources.

Exam: maximum combinations of two goods when all resources are fully used.

đường giới hạn khả năng sản xuất

efficient

A point **on** the curve. All resources are used.

Nothing is wasted.

hiệu quả

inefficient

A point **inside** the curve. Some resources are not used.

Example: workers have no jobs.

không hiệu quả

unattainable

A point **outside** the curve. We cannot make it now.

We need more or better resources.

không thể đạt được

reallocation of resources

Move resources from one good to the other. A move **along** the curve.

More phones, less rice.

phân bổ lại nguồn lực

outward shift · inward shift

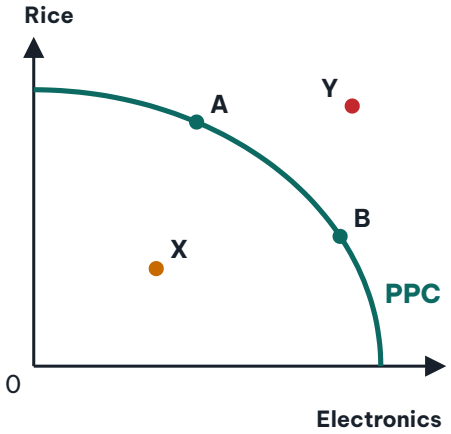
The whole curve moves out (we can make more) or in (we can make less).

Out = economic growth.

dịch chuyển ra ngoài · vào trong · tăng trưởng kinh tế

On, inside, outside

Trên, bên trong, bên ngoài đường PPC



A and B: on. X: inside. Y: outside.

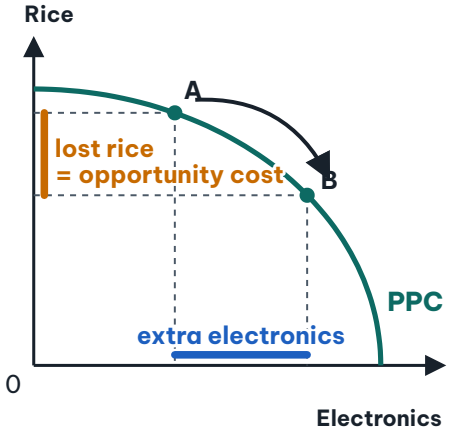
A, B (on): efficient. All resources are used. · Hiệu quả.

X (inside): inefficient. Some workers or machines are not used. We can make more of **both** goods. · Không hiệu quả.

Y (outside): unattainable. We cannot make it now. · Không thể đạt được.

Move along: opportunity cost

Di chuyển dọc đường PPC: chi phí cơ hội



A → B: more electronics, less rice.

Workers and land move from rice to electronics. The point moves **along** the curve, from A to B.

Blue = the extra electronics we get.

Orange = the rice we give up = the **opportunity cost**.

The curve does **not** move.

Đường cong không dịch chuyển. Phần lúa mất đi = chi phí cơ hội.

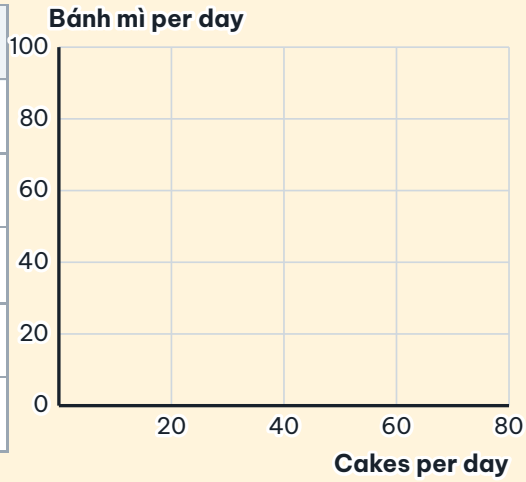
THINK 1

Plot your own PPC: the class bakery

Your class makes bánh mì and cakes for the school fair. Plot the 5 points on the grid. Join them with a curve. Label it PPC.

Lớp bạn làm bánh mì và bánh ngọt. Vẽ 5 điểm lên lưới, nối thành đường cong, ghi PPC.

Point	Cakes	Bánh mì
A	0	100
B	20	90
C	40	70
D	60	40
E	80	0



THINK 2

Where is the point?

Put these points on your bakery PPC. Write **inside**, **on** or **outside**, and what it means.

Đặt các điểm lên PPC. Viết bên trong, trên hoặc bên ngoài, và ý nghĩa.

Point	Cakes	Bánh mì	inside / on / outside	What it means
P	30	50		
Q	60	40		
R	60	80		

THINK 3

How much does it cost? And why is the PPC curved?

Use the bakery table. How many bánh mì do you give up for each 20 extra cakes?

Dùng bảng. Bạn mất bao nhiêu bánh mì cho mỗi 20 bánh ngọt thêm?

Move	A → B	B → C	C → D	D → E
Extra cakes	20	20	20	20
Bánh mì given up	10			

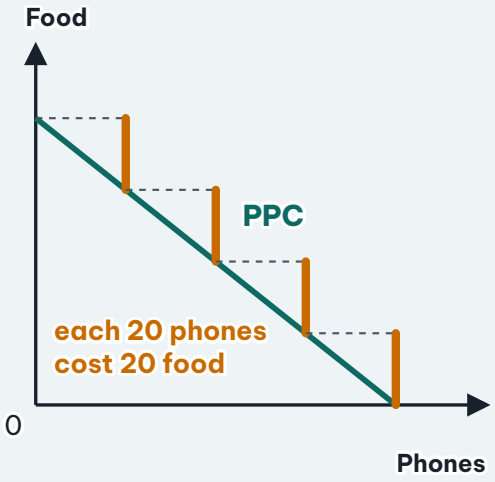
The opportunity cost goes **up** / **down**. (circle)

Why? Some students are good at bánh mì, some are good at cakes. When we make lots of cakes, even the best bánh mì makers must make cakes. So each cake costs _____ bánh mì.

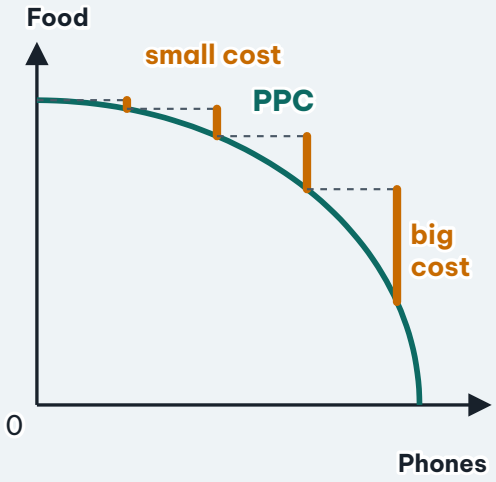
Tại sao? Không phải ai cũng giỏi làm cả hai loại bánh. Vì vậy chi phí cơ hội tăng dần và đường PPC cong.

✎ Why is the PPC curved?

Tại sao đường PPC cong?



Straight line: the cost is always the same.



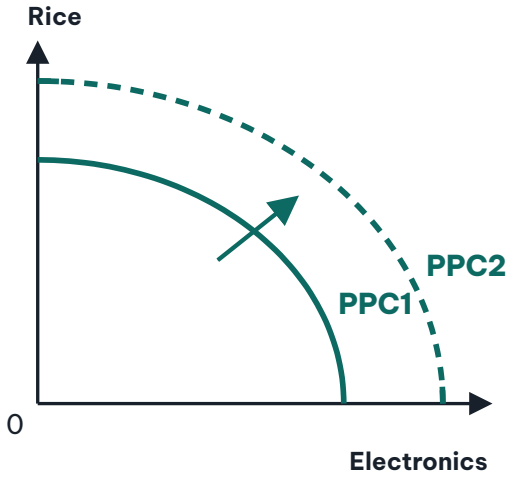
Curved: each step costs more.

Resources are **not equally good** at making both goods. So the opportunity cost **rises**, and the PPC is bowed out.

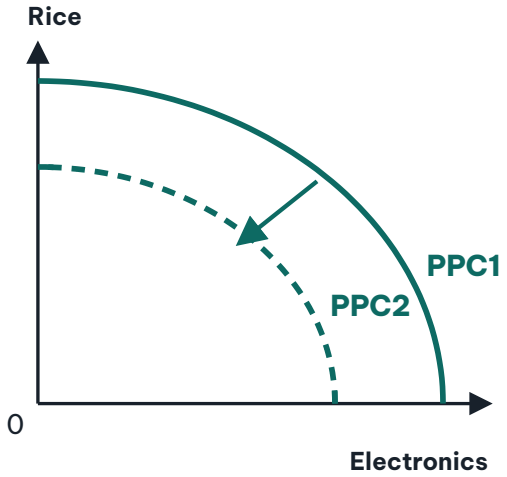
Nguồn lực không phù hợp như nhau cho cả hai hàng hóa → chi phí cơ hội tăng dần → PPC cong lồi.

Shifts

Dịch chuyển đường PPC



Out: more or better resources. We can make more of both. · Ra ngoài



In: fewer or worse resources. We can make less of both. · Vào trong

Shift OUT (more / better)	Shift IN (fewer / worse)
new technology · more machines · training and education · more workers · new oil found	typhoon or flood · war · workers leave the country · resources run out

TRAP · BẪY

Inside → on is NOT a shift

Workers with no jobs find jobs. The point moves from X **to the curve**. The curve does **not** move. We have the same resources; we just use them.

Từ bên trong ra đường PPC không phải là dịch chuyển đường PPC.

TRAP · BẪY

Axis labels

A PPC has **two goods** on the axes. **Never** Price and Quantity.

Hai trục là hai hàng hóa, không phải Giá và Lượng.

THINK 4

Move or shift?

Write the card numbers in the right box.

Viết số thẻ vào đúng ô.

1 Workers move from rice farms to phone factories.	**2** A typhoon destroys farms and factories.
3 Factories buy new, faster machines.	**4** Workers with no jobs find jobs.
5 Many young workers leave to work abroad.	**6** The government trains 1 million workers.

Move along the curve:	Shift out:	Shift in:	Inside → towards the curve (no shift):

Paper 1 practice

Trắc nghiệm: chọn A, B, C hoặc D.

13. What does a point outside a country's PPC show?

A output with some unemployed resources
B output that cannot be reached now
C output where all resources are used
D output after a fall in productivity

14. Which would cause an outward shift of a country's PPC?

A more workers become unemployed
B a typhoon destroys many factories
C workers move from farms to factories
D new technology raises productivity

15. An economy on its PPC moves from 40 cars and 100 tonnes of food to 50 cars and 80 tonnes of food. What is the opportunity cost of the extra 10 cars?

A 10 cars
B 80 tonnes of food
C 20 tonnes of food
D 100 tonnes of food

16. Why is a PPC usually bowed out (curved)?

A Resources are not equally good at making both goods.
B The economy always produces on the curve.
C Prices rise when the economy produces more.
D The economy has unlimited resources.

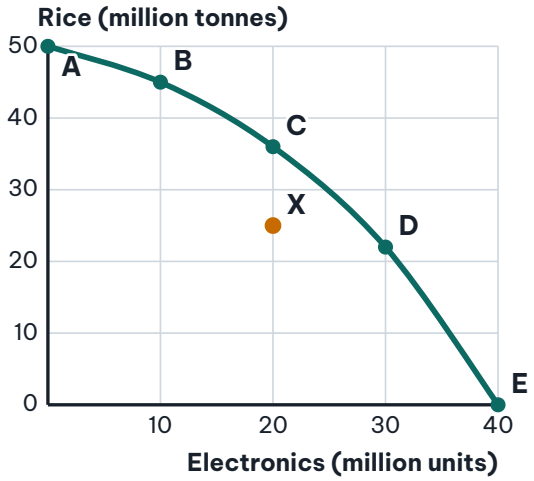
Paper 2 practice

READ FIRST · ĐỌC TRƯỚC

Việt Nam's PPC: rice and electronics

Việt Nam grows a lot of rice and makes a lot of phones and other electronics. The table and diagram show what Việt Nam could make in one year with all its resources (practice figures).

Point	Electronics (million units)	Rice (million tonnes)
A	0	50
B	10	45
C	20	36
D	30	22
E	40	0



Point X: 20 million units of electronics, 25 million tonnes of rice.

In September 2024, **Typhoon Yagi** hit the north of Việt Nam. Floods covered rice fields. Strong winds damaged factories and machines in Hải Phòng and Quảng Ninh. Some workers were hurt.

State **(a) State what point X on the diagram shows.** **[2]**

Step 1: Choose the best answer. · Chọn đáp án đúng nhất.

A X is outside the PPC: Việt Nam cannot produce it now.

B X is inside the PPC: some resources are unemployed, so Việt Nam could produce more of both goods.

C X is on the PPC: all of Việt Nam's resources are used.

Step 2: Copy it. Underline the 2 key ideas: resources not used and more of both.

Chép lại. Gạch chân 2 ý chính.

_____

_____

Explain **(b) Using the table, explain the opportunity cost of producing more electronics.** **[4]**

Step 1: Calculate. How much rice is given up for each 10 million extra electronics? · Tính lượng lúa mất đi.

Move	A → B	B → C	C → D	D → E
Rice given up (million tonnes)	50 − 45 = 5			

Step 2: Fill the gaps. Use the word bank. · Điền vào chỗ trống.

rice | 9 | 14 | 22 | rises | equally good

The opportunity cost of more electronics is the _____ given up. From B to C, 10 million more units cost _____ million tonnes of rice. From C to D they cost _____, and from D to E they cost _____. So the opportunity cost _____. This is because resources are not _____ at making both goods.

Analyse **(c) Using a PPC diagram, analyse the effect of Typhoon Yagi on Việt Nam's PPC.** **[6]**

Step 1: Put the 6 steps in order. · Sắp xếp 6 bước theo đúng thứ tự.

A So the quantity of factors of production falls.

B The PPC shifts inwards, from PPC1 to PPC2.

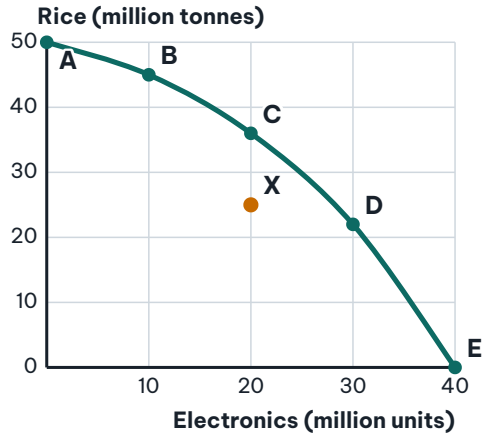
C The typhoon damages land (rice fields), capital (factories, machines) and labour (workers).

D Later, fields recover and factories are repaired. The PPC can shift back out.

E This means Việt Nam can produce less rice and fewer electronics.

F Points on the old PPC, like C, are now unattainable.

Order: ☐ → ☐ → ☐ → ☐ → ☐ → ☐



Step 2: Draw PPC2 inside PPC1, touching both axes. Add an arrow. The diagram can earn up to 3 marks. · Vẽ PPC2 bên trong PPC1, chạm cả hai trục.

Step 3: Write the steps as sentences in your notebook. Join them with so, this means, as a result.

Viết thành câu trong vở. Dùng từ nối.

> **Watch out:** this is a **shift**, not a move along the curve. Resources are destroyed. · Đây là dịch chuyển, không phải di chuyển dọc đường.

Answers

Đáp án

1.1 Think tasks

Think 1: My wish list

1. Everything costs $2 + $5 + $6 + $8 + $10 = **$31**. 2. **No**. This is **scarcity**: wants are bigger than what we have. 3. Rich people want more things too (a bigger house, a better car), and their **time** is limited. Their wants are still bigger than their resources.

Think 2: Free or economic?

Free good: 1, 3, 5, 8. **Economic good:** 2, 4, 6, 7, 9, 10.

7 and 9 are free of charge, but they use scarce resources (teachers, milk tea), so they are economic goods.

Think 3: The school canteen

1 W · 2 H · 3 F · 4 W · 5 H · 6 F

Card 4 starts with "How many", but it is a **what** question: what (and how much) to make. Câu 4 là câu hỏi "cái gì" (sản xuất bao nhiêu).

1.2 Think tasks

Think 1: The phở shop

Land: 2, 7 · **Labour:** 1, 5 · **Capital:** 3, 6, 8 · **Enterprise:** 4

Think 2: Factor and reward

Land → rent · Labour → wages · Capital → interest · Enterprise → profit

Think 3: True or false?

1 **F** (money is not capital; capital is machines and tools) · 2 **T** · 3 **T** · 4 **F** (land is all natural resources) · 5 **T** · 6 **T**

Think 4: Can it move?

1 **hard**, G (high rent, family in Huế) · 2 **hard**, O (no factory skills) · 3 **easy**, G · 4 **hard**, G (you cannot move land). **Training** or a course would help Mr Bình.

1.3 Think tasks

Think 1: My Saturday

Your own answer. The opportunity cost is your **number 2 only**, not numbers 2, 3 and 4 together.

Think 2: Four decision-makers

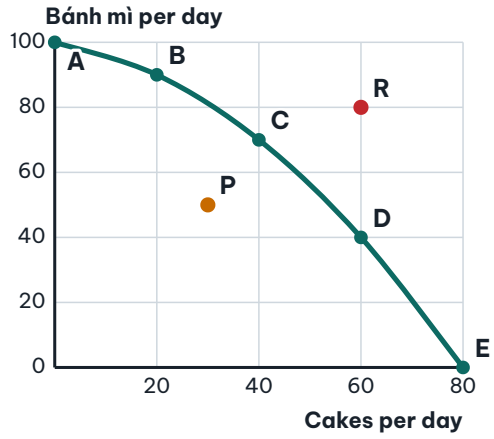
Consumer: the bubble tea with friends · Worker: the English class · Firm: the TVs · Government: the new hospitals

Think 3: Spot the mistake

1. Her opportunity cost is the **hotel job** (and its wages). 2. His opportunity cost is **only the cinema ticket**. 3. Her opportunity cost is **the film**, her number 2. Football is what she chose.

1.4 Think tasks

Think 1 and 2: The bakery PPC



P (30, 50): inside. Some students or ovens are not used. The class could make more of both.

Q (60, 40): on. Efficient. All resources are used.

R (60, 80): outside. Unattainable. The class cannot make it now.

Q is on the curve (it is point D).

Think 3: How much does it cost?

A → B: 10 · B → C: 20 · C → D: 30 · D → E: 40. The opportunity cost goes **up**. Each cake costs **more** bánh mì.

Think 4: Move or shift?

Move along: 1 · **Shift out:** 3, 6 · **Shift in:** 2, 5 · **Inside → towards the curve:** 4

Paper 1 answers

Q	Answer	Why · Tại sao
1	**B**	Unlimited wants, finite resources.

2	**C**	Sunlight is not scarce. A, B and D use scarce resources, even if they are free of charge.
3	**A**	Robots or workers = how. B = what, C = for whom. D is about price.
4	**D**	Wants grow when people are richer. They are still greater than resources.
5	**C**	A van is made by people and used to produce: capital.
6	**A**	Land → rent.
7	**D**	Training gives new skills, so each worker can produce more.
8	**B**	Fish are a natural resource: land. A boat is capital. Skills are labour.
9	**D**	Number 2 only. Not the money, not all the options.
10	**B**	The hospital is the next best alternative.
11	**A**	She gives up 3 hours of English study. The wages are the benefit.
12	**C**	Land is scarce: one field cannot grow two crops at the same time.
13	**B**	Outside = unattainable now.
14	**D**	Better technology = more capacity = shift out. B = shift in. C = move along. A = inside.
15	**C**	100 – 80 = 20 tonnes of food.
16	**A**	Resources are not equally good at both goods, so the opportunity cost rises.

BACK PAGES

Paper 2 mark schemes

Hướng dẫn chấm điểm Paper 2

Mark your own work with a different colour pen. Tick each row only if the idea is there. Different words are OK if the meaning is the same.

Chấm bài của bạn. Chỉ đánh dấu khi ý đó có trong bài. Dùng từ khác cũng được nếu cùng nghĩa.

1.1 Fresh water in the Mekong Delta

1.1(a) Define scarcity [2]

Choose: **B**. 1 mark: wants are unlimited. 1 mark: resources are finite (limited). **No mark** for "not enough of something" on its own.

MODEL ANSWER

Scarcity is when wants are unlimited **[1]** but resources are finite. **[1]**

1.1(b) Economic good and free good [4]

Give a mark for	Mark
Economic good: scarce / uses resources / has an opportunity cost	1
Example from the context: water from trucks	1
Free good: not scarce / enough for everyone / no opportunity cost	1
Example from the context: river water in the past	1

No mark: "a free good is something you don't pay for".

MODEL ANSWER (GAPS FILLED)

An economic good is **scarce**. Making it uses **resources**, so it has an **opportunity cost**. **[1]** For example, **water from trucks**. **[1]** In contrast, a free good is not scarce. There is enough for **everyone**, so it has no opportunity cost. **[1]** For example, **river water in the past**. **[1]**

1.1(c) What, how and for whom [6]

Order: B → D → A → F → C → E. 1 mark for each step (max 6). Each "what", "how" or "for whom" step needs an example from the water story.

MODEL ANSWER

Fresh water and the government's money are scarce, but people's wants are unlimited. **[1]** So the government cannot give everyone everything, and it must choose. **[1]** First, it must decide what to produce: a water reservoir or new pipes. **[1]** Second, it must decide how to produce: a treatment plant with machines, or more trucks and drivers. **[1]** Third, it must decide for whom: homes and hospitals first, or farms. **[1]** Every choice has an opportunity cost, because money for a reservoir cannot build a new school. **[1]**

1.2 An electronics factory in Bắc Ninh

1.2(a) Define enterprise [2]

Choose: **C**. 1 mark: organises the other factors of production. 1 mark: takes risks (to make a profit). **No mark** for "a business" or "a company".

MODEL ANSWER

Enterprise is the willingness and ability to organise the other factors of production **[1]** and take risks to make a profit. **[1]**

1.2(b) Two factor rewards [4]

For each of 2 rewards	Mark
Names the reward and its factor: wages → labour, rent → land, interest → capital, profit → enterprise	**1 + 1**
Uses the context: $400 a month, $2 million rent, 6% interest on the $50 million loan, $12 million profit	**1 + 1**

MODEL ANSWER (GAPS FILLED)

Wages are the reward for **labour**. [1] For example, Sao Mai pays each worker about **$400** a month. [1] **Profit** is the reward for **enterprise**. [1] For example, the owners received **$12 million** because they took a risk. [1]

Step 2 example: Rent is the reward for land. Sao Mai pays $2 million a year for its land.

1.2(c) Training and output [6]

Order: D → B → F → A → E → C. 1 mark for each step (max 6). **No mark** for "the firm has more workers": training makes workers **better**, not more.

Keep every step about Sao Mai. **No mark** for points about Việt Nam's PPC: the question is about one firm.

MODEL ANSWER

Training gives workers new skills, so the quality of labour rises. [1] This means each worker makes more parts in one hour: productivity rises. [1] Skilled workers use the new machines well, so there are fewer mistakes. [1] The firm can fill the 2,000 technician jobs, so no machines stand unused. [1] As a result, the factory makes more parts with the same land and machines. [1] Each part costs less, so Sao Mai can sell at lower prices and win more orders. [1]

1.3 Hà and Mr Tâm

1.3(a) Define opportunity cost [2]

Choose: **A**. 1 mark: the next best alternative. 1 mark: given up when a choice is made. **No mark** for "the money you spend".

MODEL ANSWER

Opportunity cost is the next best alternative **[1]** that is given up when a choice is made. **[1]**

1.3(b) Hà and Mr Tâm [4]

Give a mark for	Mark
Hà: the hotel job	**1**
Why: it is her next best alternative; she gives up $300 a month ($3,600 a year)	**1**
Mr Tâm: the rice he could grow	**1**
Why: land is scarce; he cannot use it for both at the same time	**1**

No mark: "the $1,500 fees" or "the $3,000 pond" as the opportunity cost.

MODEL ANSWER (GAPS FILLED)

The opportunity cost of university for Hà is the **hotel job**. **[1]** She gives up **$300** a month in wages. **[1]** If Mr Tâm makes a shrimp pond, his opportunity cost is the **rice** he could grow. **[1]** This is because **land** is scarce: he cannot use it for **both** at the same time. **[1]**

Step 2: 12 × $300 = $3,600.

1.3(c) Mr Tâm's decision [6]

Order: C → E → A → F → D → B. 1 mark for each step (max 6).

MODEL ANSWER

Mr Tâm's land is scarce, so he cannot grow rice and shrimp on the same land. [1] If he chooses shrimp, the opportunity cost is the rice he gives up. [1] Salt water makes his rice harvest smaller, so the opportunity cost of shrimp falls. [1] Shrimp sell for a higher price, so the benefit of shrimp is bigger than the rice. [1] However, the $3,000 for the pond also has an opportunity cost: he could buy new rice seeds or keep it as savings. [1] He compares the benefit with the opportunity cost. As a result, he will probably switch to shrimp. [1]

1.4 Việt Nam's PPC

1.4(a) What point X shows [2]

Choose: **B**. 1 mark: some resources are unemployed (not used). 1 mark: inefficient / could produce more of both goods. **No mark** for "unattainable".

MODEL ANSWER

X is inside the PPC, so some resources are unemployed. [1] Việt Nam could produce more of both goods. [1]

1.4(b) Opportunity cost of more electronics [4]

Step 1: A → B 5 · B → C 9 · C → D 14 · D → E 22.

Give a mark for	Mark
The opportunity cost is the rice given up	**1**
A correct number from the table (e.g. B → C = 9 million tonnes)	**1**
The opportunity cost rises (two numbers compared)	**1**
Why: resources are not equally good at making both goods	**1**

MODEL ANSWER (GAPS FILLED)

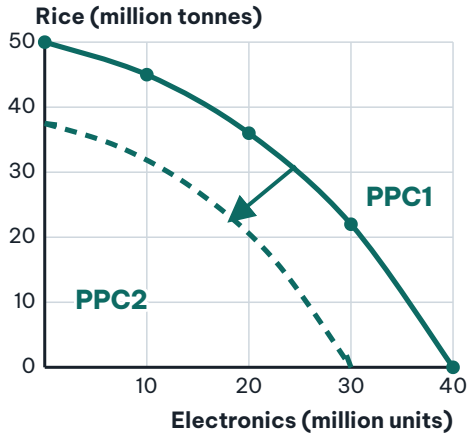
The opportunity cost of more electronics is the **rice** given up. **[1]** From B to C, 10 million more units cost **9** million tonnes of rice. **[1]** From C to D they cost **14**, and from D to E they cost **22**. So the opportunity cost **rises**. **[1]** This is because resources are not **equally good** at making both goods. **[1]**

1.4(c) Typhoon Yagi and the PPC [6]

Order: C → A → E → B → F → D.

Give a mark for	Mark
Diagram: axes labelled Rice and Electronics · PPC1 touches both axes · PPC2 inside PPC1, touching both axes, with an arrow	**up to 3**
Written steps: 1 mark for each correct step	**up to 4**

Total: max 6. **No mark** for "a move along the PPC".



PPC1 → PPC2 (inwards).

MODEL ANSWER

Diagram: axes labelled, PPC1, and PPC2 inside it with an arrow. **[3]**

The typhoon damaged land (rice fields), capital (factories and machines) and labour (workers). **[1]** So the quantity of factors of production fell. **[1]** This means Việt Nam can produce less rice and fewer electronics. **[1]** As a result, the PPC shifts inwards, from PPC1 to PPC2. **[1]** Points on the old PPC, like C, are now unattainable. **[1]** Later, when fields recover and factories are repaired, the PPC can shift back out. **[1]**

The diagram (3) plus the written steps (up to 4) can reach the maximum of 6.

BACK PAGES

Glossary

Bảng thuật ngữ Anh–Việt

English	Tiếng Việt	Simple meaning
scarcity	sự khan hiếm	not enough for all our wants
finite resources	nguồn lực hữu hạn	limited land, workers, machines
unlimited wants	nhu cầu vô hạn	wants never stop
basic economic problem	vấn đề kinh tế cơ bản	finite resources, unlimited wants
economic good	hàng hóa kinh tế	scarce, uses resources
free good	hàng hóa tự do	not scarce, no opportunity cost
what, how, for whom	sản xuất cái gì, như thế nào, cho ai	the 3 questions
factors of production	các yếu tố sản xuất	land, labour, capital, enterprise
land · rent	đất đai · tiền thuê	natural resources · their reward
labour · wages	lao động · tiền lương	workers · their reward
capital · interest	vốn (máy móc, nhà xưởng) · tiền lãi	machines and tools · their reward
enterprise · profit	khả năng kinh doanh · lợi nhuận	organising and risk · its reward
geographical / occupational mobility	tính lưu động theo địa lý / nghề nghiệp	move to a new place / a new job
productivity	năng suất	output per worker
opportunity cost	chi phí cơ hội	the next best thing given up
trade-off	sự đánh đổi	more of one, less of another
PPC	đường giới hạn khả năng sản xuất	the most of two goods we can make
efficient / inefficient	hiệu quả / không hiệu quả	on / inside the PPC
unattainable	không thể đạt được	outside the PPC
reallocation of resources	phân bổ lại nguồn lực	move along the PPC
economic growth	tăng trưởng kinh tế	the PPC shifts out